

Statement of Work – Project Atlas

SOW number: NRG-COB-2026-01 **Effective date:** 2026-01-09

Between: Northwind Retail Group, Inc. ("Client") and Cobalt Systems LLC ("Supplier"), under the Master Services Agreement dated 2023-05-01.

1. Purpose

This Statement of Work describes the services Supplier will provide to migrate Client's Meridian order management system and enterprise data warehouse from the Client's Dallas data center to Microsoft Azure, modernize the order management application, and support the production cutover and hypercare. The program is known as Project Atlas.

2. Scope of Services

2.1 Supplier will design and build the Azure landing zone, including networking, identity and security controls.

2.2 Supplier will migrate order history (approximately 2.3 TB), customer master, product master and open orders, and will reconcile record counts and order value totals.

2.3 Supplier will re-platform and modernize the order management application and build integrations with POS, e-commerce, payment gateway, warehouse management and ERP systems.

2.4 Supplier will execute system integration testing, support user acceptance testing, plan and execute cutover, and provide 5 weeks of hypercare after go-live.

2.5 Out of scope: loyalty program platform changes, mobile POS devices and replacement of the warehouse management system.

3. Fees

3.1 The services are provided on a fixed-price basis of **\$4,800,000** (four million eight hundred thousand US dollars), excluding Azure consumption costs, which are paid directly by Client.

3.2 Approved change requests are priced at the rate card in Appendix A and added to the fixed price by written amendment.

4. Payment Milestones

Payment milestone	Program milestone	% of fixed price	Amount
PM-1	M1 – Azure landing zone ready	20%	\$960,000
PM-2	M3 – Order management application build complete	25%	\$1,200,000
PM-3	M5 – UAT complete	25%	\$1,200,000
PM-4	M7 – Hypercare end	30%	\$1,440,000

Invoices are payable within 45 days of receipt. Each payment milestone requires written acceptance by the Client Program Director.

5. Key Personnel

Supplier's Program Manager (Arjun Mehta) and the five workstream leads are designated Key Personnel. Supplier will not replace Key Personnel without 30 days' notice and Client's consent, except in cases of resignation, illness or termination of employment.

6. Service Levels During Hypercare

Priority	Definition	Response time	Resolution target
P1	Order taking stopped in multiple stores or on e-commerce	30 minutes	4 hours
P2	Major function degraded, workaround available	2 hours	1 business day
P3	Minor defect or cosmetic issue	1 business day	10 business days

6.2 The modernized order management service shall achieve 99.9% monthly availability, measured from go-live, excluding agreed maintenance windows.

6.3 If Supplier misses the P1 resolution target more than twice in a calendar month during hypercare, Client may withhold 5% of payment milestone PM-4 until a remediation plan is accepted.

7. Acceptance

Each deliverable will be reviewed by Client within 10 business days of submission. Deliverables not rejected in writing within that period are deemed accepted.

8. Client Responsibilities

Client will provide business subject matter experts at 50% allocation during design and UAT, timely access to source systems, and decisions within 5 business days of a request.

9. Subcontractors

9.1 Supplier will engage DataBridge Solutions, Inc. as a subcontractor to supply the DataBridge Migrate tool, including Oracle connector v3.2, and associated migration engineering support.

9.2 Supplier remains fully responsible for the performance of its subcontractors under this SOW.

9.3 **Subcontractor delay service credits.** The subcontract between Supplier and DataBridge Solutions shall provide service credits of 2% of DataBridge's monthly fees for each full week of delay beyond a committed delivery date, capped at 10% of monthly fees. Supplier shall pass 100% of any service credits received through to Client as a reduction of its next invoice.

10. Term and Termination

This SOW runs from the effective date until the end of hypercare or 2026-12-31, whichever comes first. Either party may terminate for material breach not cured within 30 days of written notice.

11. Signatures

Signed for Northwind Retail Group: Laura Bennett, Chief Information Officer, 2026-01-09.

Signed for Cobalt Systems: Victor Alvarez, Managing Director, 2026-01-09.

Appendix A – Rate Card for Change Requests

Role	Location	Hourly rate
Program / Project Manager	Onshore (US)	\$185
Solution Architect	Onshore (US)	\$175
Senior Engineer	Onshore (US)	\$150
Engineer	Offshore (Chennai, India)	\$48
Test Analyst	Offshore (Chennai, India)	\$40